

Outlook

From	johan.vanwyk@credit.risk.retail.keystonebank.co.za
To	analytics.retail@keystonebank.co.za
Cc	model.risk@keystonebank.co.za, loan.products@keystonebank.co.za
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Approved, but with how much room to breathe?

Morning,

I need help with something that sounds simple but probably is not.

Credit Risk wants to study borrowers approved close to affordability limits rather than compare only approvals and declines. The first extracts did not reconcile, which means source precedence and exclusions must be part of the answer.

The questions I would ask in the room are:

1. What would we expect to see if product and term explain the outcome?
2. What evidence would instead support that thin discretionary income predicts later stress?
3. How do we rule out that verified expenses or income quality create the main uncertainty?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use September 2020 as the new evidence point rather than recycling the earlier conclusion. Please work towards whether policy buffers, verification or monitoring should change. A useful output would be a control view with the exceptions, owner and reason each item was included.

Use the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations. One caution: The analysis can observe recorded affordability inputs, not every household obligation or later income shock.

Regards